

Shubham Housing Development Finance Company Limited

October 07, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term / Short-term bank facilities	RBI	1,000.00	CARE AA-; Stable / CARE A1+	Reaffirmed
Commercial paper	RBI	100.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of ratings for bank facilities and commercial paper (CP) programme of Shubham Housing Development Finance Company Limited (SHDFCL) factors in its adequate profitability and asset quality metrics, its diversified funding profile and comfortable capitalisation levels supported by capital raise in FY25. Ratings also derive support from its experienced management team and growing scale. CARE Ratings Limited (CareEdge Ratings) expects SHDFCL to continue to grow above industry growth rate while maintaining an adequate capitalisation and earnings profile and steady asset quality.

However, ratings remain constrained by limited portfolio seasoning and geographically concentrated operations. The company's target borrower profile is relatively vulnerable and having modest credit profiles, making them susceptible to economic downturns.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Sizable growth in the scale of operations while maintaining healthy profitability and comfortable asset quality profile

Negative factors

- Moderation in its earnings profile with return on total assets (ROTA) reducing below 2.5% and/or deterioration in asset quality with gross non-performing assets (GNPA) more than 2.5%
- Sustained increase in assets under management (AUM) to tangible net worth (TNW) above 5x
- Substantial rise in share of construction finance book from the current level

Analytical approach:

Standalone

Outlook: Stable

Stable outlook on long-term rating reflects CareEdge Ratings' expectation that the company would grow at a healthy pace, while maintaining its profitability, asset quality, and capitalisation profile.

Detailed description of key rating drivers

Key strengths

Comfortable capitalisation

SHDFCL has comfortable capitalisation profile, supported by healthy internal accruals and capital raise in the recent past. In FY25, the company raised ₹400 crore of primary capital (post ₹600 crore of infusion in form of compulsory convertible preference shares [CCPS] in FY23), which along with internal accruals, led to its TNW increasing to ₹2,236 crore as on March 31, 2026, from ₹1,954 crore as on March 31, 2025, which further increased to ₹2,317 crore as on June 30, 2026, supported by internal accruals. It reported a capital adequacy ratio (CAR) of 40.0% and a gearing of 2.5x as on March 31, 2026, and 38.9% and 2.7x as on June 30, 2026, compared to 46.2% and 2.0x as on March 31, 2025. Going forward, the company's ability to maintain a healthy capitalisation profile, while expanding its scale will be important and will provide adequate cushion for absorbing unexpected losses.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Adequate earnings

SHDFCL reported a profit after tax (PAT) of ₹260.0 crore in FY26, translating into return on average total assets (RoTA) of 3.7% and return on average tangible net worth (RoNW) of 12.4% against a net profit of ₹175.3 crore, RoTA of 3.3% and RoNW of 10.6% in FY25. In Q1FY27, the company reported a PAT of ₹76.7 crore, RoTA of 3.6% and RoNW of 13.5%. The entity's earnings profile is supported by adequate net interest margins (NIMs) in relation to average total assets (ATA) of 7.5% and marginally higher credit cost of 0.7% in FY26. Its operating expenses in relation to ATA remained elevated at 5.0% as on March 31, 2026, although reduced from 5.3% as on March 31, 2025. Given the relatively long-tenure assets, its earnings profile remains susceptible to systemic interest rate changes.

Diversified resource profile

SHDFCL has a diversified funding profile with loans from private banks (51.8% as on June 30, 2026), public banks (23.1%), non-banking finance companies (NBFCs; 6.9%), refinance from National Housing Bank (NHB; 17.1%) and through optionally convertible debenture (1.1%). The incremental borrowing cost of SHDFCL stood at 8.2% in FY26. Going forward, the company's ability to continue raising funds at competitive rates will be a key monitorable.

Adequate asset quality

SHDFCL reported gross non-performing assets (GNPA) of 1.2% (2.1% on 2-year lagged basis) as on June 30, 2026, compared to 1.2% (2.0% on 2-year lagged basis) as on March 31, 2026 and 1.3% (2.4% on 2-year lagged basis) as on March 31, 2025. In terms of solvency, its net stressed assets³ in relation to its TNW stood at 5.4% as on March 31, 2026, compared to 5.1% as on March 31, 2025. The company's asset quality is supported by average loan-to-value (LTV) of ~53.31% as on March 31, 2026. Although the company has been able to make healthy recoveries from its non-performing portfolio, its ability to maintain comfortable asset quality while growing scale will be critical for its credit profile.

Key weaknesses

Limited portfolio seasoning

CareEdge Ratings notes that a significant portion of the company's portfolio was generated in the last few years, and hence, has relatively less seasoning. Its disbursements in the last six quarters accounted for ~61% of its AUM as on June 30, 2026. While the company has been able to manage its portfolio so far, the company's ability to maintain envisaged growth and stable asset quality remains a key monitorable.

High, yet reducing, geographical concentration

As on June 30, 2026, the company had a presence in 13 states operating via 211 branches and had added 31 new branches since March 2025. While the company has presence in 13 states, the state-wise geographic concentration remains high with Maharashtra alone accounting for 27% of its AUM as on June 30, 2026. Its top three states (Maharashtra, Delhi, and UP) cumulatively accounted for 58% as on June 30, 2026, which has come down marginally from 59% as on March 31, 2025. Geographic concentration is expected to reduce gradually as the management plans to expand its operations in other geographies.

Exposure to relatively vulnerable borrower segment

As an affordable housing finance company, SHDFCL is focused on providing secured retail home loans to low- and middle-income borrowers in semiurban and urban regions, with majority lacking formal income documents. SHDFCL's customers are a mix of self-employed (~50% of AUM as on June 30, 2026) and remaining 50% are salaried borrowers with majority in Tier-2 to Tier-5 cities, exposing the company to the relatively economically vulnerable borrower segment. Since this segment is highly susceptible to the impact of economic downturns, maintaining good asset quality while increasing scale of operations remains a key rating sensitivity.

Liquidity: Adequate

The company's liquidity remained adequate with unencumbered on-book liquidity of ₹651.6 crore (including cash and bank balance of ₹610.7 crore, and investment in government security of ₹41.0 crore) and unavailed sanctioned lines of ₹391 crore as on June 30, 2026. This, and scheduled collections of ₹177.5 crore for next six months, provide sufficient liquidity to cover its repayment obligations of ₹785.4 crore due in the next six months per its asset-liability mismatch (ALM) as on June 30, 2026. While the company had an adequate liquidity profile as on June 30, 2026, its ability to maintain a balanced ALM and continue raising funds at competitive rates to meet its growth requirements, will be important from a credit perspective.

Assumptions/Covenants

³ Net stressed assets include net GNPA, net security receipts and net repossessed assets

Not applicable

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Housing Finance Companies](#)

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About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Finance	Housing Finance Company

SHDFCL is a housing finance company incorporated in February 2010 with its registered office at New Delhi. The company is engaged in providing home loans to middle-to-low-income groups. The company is promoted by Sanjay Chaturvedi, Managing Director and Promoter and Rupa Basu, Joint Managing Director and Promoter. The company is backed by marquee investors namely, Premji Invest fund holding 19.7% diluted stake as of June 2026 (reduced from 26.9% as of March 2025), followed by Multiple PE fund (21.7%), British International Investment (10.9%), Dillena Limited (8.6%), and Asian Development Bank, (8.2%). Currently, the company's portfolio is spread across 13 states with a network of 211 branches, where Maharashtra is the highest contributing state with 27% share as on June 30, 2026. As on June 30, 2026, the company's TNW stood at ₹2,317 crore and AUM stood at ₹8752 crore.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	June 30, 2026 (UA)
Total income	824.1	1,129.1	326.2
Profit after tax (PAT)	175.3	260.0	76.7
Assets under management (AUM)	6,033.8	8,170.9	8,752.1
On-book gearing (x)	2.0	2.5	2.7
AUM / tangible net-worth (TNW) (x)	3.1	3.7	3.8
Gross non-performing assets (NPA) / gross stage 3 (%)	1.3	1.2	1.2
Return on managed assets (ROMA) (%)	3.1	3.4	3.3
Capital adequacy ratio (CAR) (%)	46.2	40.0	38.9

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper- Commercial Paper (Standalone)	RBI	Simple	Proposed	-	-	-	100.00	CARE A1+
Fund-based - LT/ ST-Term loan	RBI	NA	-		-	31-08-2033	1000.00	CARE AA-; Stable / CARE A1+

NA: Not applicable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Commercial Paper-Commercial Paper (Standalone)	ST	100.00	CARE A1+	1)CARE A1+ (07-May-26) 2)CARE A1+ (06-Apr-26)	1)CARE A1+ (10-Oct-25)	1)CARE A1+ (07-Mar-25)	-
2	Fund-based - LT/ST-Term loan	LT/ST	1000.00	CARE AA-; Stable / CARE A1+	1)CARE AA-; Stable / CARE A1+ (07-May-26) 2)CARE AA-; Stable / CARE A1+ (06-Apr-26)	-	-	-

ST: Short term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender detailsTo view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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